



Cambridge International AS & A Level

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ACCOUNTING

9706/32

Paper 3 Financial Accounting

May/June 2026

1 hour 30 minutes

You must answer on the question paper.

You will need: Insert (enclosed)

INSTRUCTIONS

- Answer **all** questions.
- Use a black or dark blue pen.
- Write your name, centre number and candidate number in the boxes at the top of the page.
- Write your answer to each question in the space provided.
- Do **not** use an erasable pen. Do **not** use correction fluid or tape.
- Do **not** write on any bar codes.
- You may use an HB pencil for any diagrams, graphs or rough working.
- You may use a calculator.
- International accounting terms and formats should be used as appropriate.
- You should show your workings.

INFORMATION

- The total mark for this paper is 75.
- The number of marks for each question or part question is shown in brackets [].
- The insert contains all of the sources referred to in the questions.

This document has **16** pages. Any blank pages are indicated.



1 Read **Source A** in the insert.

(a) State **two** differences between the financial statements of a club and a trading business.

club	trading business
1	
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2	
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[2]





- (b)** Explain, with reference to an accounting concept, the treatment of life membership fees in the financial statements of the Club, as advised by the accountant.

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[5]

- (c)** Prepare the café statement of profit or loss for the year ended 31 December 2025.

[5]



This image shows a full page of primary-ruled paper. It features multiple sets of horizontal dashed lines for writing. Diagonal dotted lines are also present, creating slanted columns across the page. The background is white, and there are faint, repeating watermarks of "PapaCambridge.com" diagonally across the page.

[8]

- (e) Prepare an **extract** of the statement of financial position of the Club at 31 December 2025, showing the accumulated fund and liabilities.

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Workings:

[5]

[Total: 25]



2 Read **Source B** in the insert.

(a) State **two** uses of a statement of cash flows.

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[2]

(b) Prepare the statement of cash flows of W plc for the year ended 31 March 2026 in accordance with IAS 7.

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9706/32 Question Paper June 2026



Workings:

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[18]





Additional information

W plc has the opportunity to acquire an adjacent office building which is double the size of the present one. The purchase cost is \$600 000. The directors are considering two options for the use of this adjacent building:

- | | |
|----------|--|
| option 1 | move in and sell the present one to cope with an expected increase in business scale |
| option 2 | let the building and receive rental income. |

(c) Advise the directors which option they should choose. Justify your answer.

[5]

[Total: 25]



3 Read **Source C** in the insert.

(a) Calculate the purchase consideration payable by G Limited.

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..... [4]

(b) (i) Calculate the capital of Andy and Ben immediately before the takeover by G Limited.

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Turn over





(ii) Calculate the realisation profit or loss share of **each** individual partner.

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..... [4]

(iii) Prepare the capital account of Andy and Ben on the next page, showing the final settlement through the partnership's bank account.





[5]

Capital account

Ben \$	Andy \$		Ben \$	Andy \$	



e

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[4]

[4]



Additional information

The directors are considering purchasing a sole trader business which supplies leather to G Limited. The sole trader, Calvin, requests that the purchase consideration has to be settled by 80 000 ordinary shares and he is to be appointed as a director of G Limited.

- (d)** Advise the directors whether or not they should accept Calvin's request. Justify your answer.

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[5]

[Total: 25]





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